

A \$38M Power Center Refi Shows Retail Debt Is Available

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Gantry Secures \$38M Permanent Loan for Mesa Grand Power Center

Full-term interest-only structure. Cash-out proceeds. An institutional balance sheet lender. The borrower is a repeat sponsor with a strong track record.

SIGNIFICANCE

Why This Deal Matters Beyond Phoenix

Retail has been out of favor with many lenders. This transaction shows that well-located, well-leased power centers still attract competitive debt capital.

Full-Term IO and Cash-Out: A Rare Combination Today

Most lenders are conservative on retail. Getting full-term interest-only plus cash-out proceeds signals strong lender confidence in the asset, the sponsor, and the market.

What Makes a Retail Deal Financeable in 2026?

Three things: a top-quartile sponsor, a power center with essential tenants, and a basis that leaves room for rent shocks. This deal had all three.

WHO CARES?

Different Parties, Different Takeaways

- * Sponsors: Track record and equity matter more than property type.
- * Lenders: Retail isn't closed-it's selective.
- * Buyers: Cash-out refis can signal confidence in long-term value.

Retail Debt Is Bifurcating, Not Disappearing

Class-A power centers with grocery anchors and low leverage are getting done. Older malls and unanchored strip centers are not. The gap is widening.

What to Watch in Retail Financing

Monitor cap rates on recent power center trades. Watch for more balance sheet lenders entering retail. Track whether cash-out refis become more common for strong assets.

THE LESSON

Capital Follows Quality, Not Labels

Retail isn't a four-letter word. It's a property type that demands discipline. Light Tower Group helps sponsors and lenders find alignment in selective markets. Connect with Benjamin Rohr for capital strategy and placement.